

advice of experts. But, which expert do you believe? Which one are you going to rely on for advice?

Block out the gurus who say that they can tell the next move in the stock markets, interest rates, or the price of gold, because *they don't know*. Focus instead those advisors who recommend developing a long-term investment policy using a diversified asset base, and then implementing that policy with diligence, dedication, and discipline.

IT'S ALL ABOUT ASSET ALLOCATION

The investment strategies outlined in this second edition of *All About Asset Allocation* provide a no-nonsense, businesslike approach to getting a tough job done. They offer an investment solution that is easy to understand, rational in its approach, and just plain workable. Simply stated, spread your investment risk across many different securities while keeping costs very low and controlling for risk and taxes. Don't try to out-guess the markets because you will not be successful in the long term, and it will cost you dearly. Control what you can control: costs, taxes, risk. Then let the markets take care of the rest. This approach has the highest probability of financial success.

WHAT ASSET ALLOCATION CAN AND CANNOT DO

A prudent asset allocation that is followed by discipline will increase your chances for reaching and maintaining financial security over your lifetime. That being said, no investment strategy can protect your portfolio all the time. You must be prepared for some bumps in the road. There will be poor months, quarters, and occasionally years. There is no getting around this fact.

Unfortunately, there is also a large market for financial fraud. Many unethical and unscrupulous investment experts will say that they have found a risk-free road to wealth. They are lying. High returns do not come without risk. Many experts who said that they had the secret to success in the markets went to jail in 2008 and 2009. Bernard Madoff was the most famous person, followed by many other less famous crooks.